

3.2.3 Economic Performance

The Objectives of Government Economic Policy

Candidates should be aware of the main objectives of government macroeconomic policy: increasing the growth potential of the economy and achieving that potential; price stability; minimising unemployment; and improving those aspects of the domestic economy, such as productivity performance, which will serve to improve the external performance of the economy, as reflected in the balance of payments on current account. There should be an understanding of the possibility of conflict arising, at least in the short run, when attempting to achieve these objectives.

Economic Growth

Candidates should understand that economic growth occurs when the productive capacity of the economy is increasing and is a term used to refer to the growth of real output in an economy over time. They should be able to use a production possibility curve and AD/AS diagrams to illustrate the distinction between short-run and long-run economic growth.

Candidates should be able to analyse and evaluate the various demand-side and supply-side determinants of short-run growth of GDP and the long-run trend rate of economic growth.

Inflation and Deflation

Candidates should have an understanding of the concepts of price inflation and price deflation.

They should understand that there are in an economy demand-pull and cost-push influences on the price level.

Employment and Unemployment

Candidates should be aware of the main UK measures of unemployment, i.e. the claimant count and the Labour Force Survey measure.

There should be an understanding of how employment and unemployment may be determined by both demand-side and supply-side factors and candidates should be able to analyse and evaluate these determinants with the help of production possibility curves and AD/AS diagrams. Candidates should understand the terms cyclical, frictional, seasonal and structural unemployment.

There should be an understanding of the output gap in relation to economic growth, unemployment and the price level as detailed in Section 3.2.1.

Note: more advanced concepts such as real wage unemployment and natural rate unemployment are examined at A2.

The Balance of Payments on Current Account

Candidates should understand that the current account comprises trade in goods, trade in services, investment income and transfers. They should understand the meaning of a deficit and a surplus on current account and how the strengths (e.g. an improvement in labour productivity) and weaknesses (e.g. a rise in the rate of inflation) of the domestic economy may impact on the balance of payments on current account.

*Note: a detailed knowledge of the structure of the balance of payments is **not** required.*